HR-202 Annual Leave

Policy ID: HR-202 Version: 3.0 Classification: Internal
Effective Date: 1 January 2026 Owner: People Operations
Applies to: All permanent and fixed-term employees

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1 Purpose and Scope

This policy explains how much annual leave employees receive, how leave is accrued, and the process for requesting and taking it. Taking leave is encouraged: rest is a condition of sustainable performance, not a reward for it.

The policy applies to all permanent and fixed-term employees. Where an entity annex applies to an employee, the annex takes precedence over this policy wherever the two conflict.

2 Annual Leave

2.1 Entitlement

Full-time employees receive twenty-five days of paid annual leave per leave year, in addition to public holidays. Part-time employees receive a pro-rata entitlement based on their contracted hours, rounded up to the nearest half day.

Employees receive one additional day of leave for every three complete years of continuous service, to a maximum of five additional days. Service is counted from the start date recorded in the human resources system.

Employees at grades 5 and above receive thirty days of paid annual leave in addition to public holidays, inclusive of any long-service additions.

2.2 Accrual

Leave accrues monthly at one twelfth of the annual entitlement. New joiners accrue from their start date, and leavers accrue to their last working day.

Employees may take leave before it has accrued with their manager's agreement. Where an employee leaves having taken more leave than accrued, the balance is recovered from their final salary payment.

Leave does not accrue during unpaid leave of more than one calendar month.

2.3 The Leave Year

The leave year runs from the first of January to the thirty-first of December. Entitlement is reset at the start of each leave year.

Employees joining part way through a leave year receive a pro-rata entitlement for that year, calculated from their start date to the thirty-first of December.

2.4 Requesting and Taking Annual Leave

All annual leave must be requested through the human resources system and approved by the employee's manager before any travel or other commitment is booked. Leave taken without prior approval is treated as unauthorised absence under HR-201 section 3.2.

Requests must be submitted at least fourteen calendar days before the first day of leave. For a continuous absence of more than five working days, the request must be submitted at least twenty-eight calendar days in advance. Managers will respond to a request within five working days of receiving it.

Requests are considered in the order they are received. A manager may decline a request where the absence would leave the team without adequate cover, where it falls in a published critical period such as a financial close, or where the notice given is shorter than this policy requires. A declined request must be explained in writing, and the manager should offer alternative dates.

A continuous absence of more than ten working days additionally requires approval from the relevant director. Employees are asked to take at least ten days of their entitlement as a single continuous period during the leave year.

2.5 Carry Over

Up to five days of unused annual leave may be carried into the next leave year and must be taken by the thirty-first of March. Leave beyond five days is lost at the end of the leave year unless the employee was prevented from taking it by long-term sickness or family leave.

Carry-over of more than five days is discretionary and requires the approval of an HR business partner. It is not granted simply because leave was not requested in time.

2.6 Public Holidays

Employees are entitled to the public holidays published for their entity. Where an employee is required to work a public holiday, an equivalent day is given in lieu within three months.

Part-time employees receive a pro-rata public holiday entitlement whether or not the holiday falls on a day they normally work.

3 Leave on Termination

On termination, accrued but untaken leave is paid in the final salary payment. Leave taken in excess of accrual is recovered from it.

A manager may require an employee to take accrued leave before their last working day, by telling them at least twice as far in advance as the length of the leave to be taken.

How long an employee must work before they may leave is not covered by this policy, and must be directed to an HR business partner.

4 Related Policies

Working hours and attendance are covered by HR-201. Flexible working is covered by HR-204.

Parental leave, sickness absence beyond the return-to-work process, and compassionate leave are not covered by this policy and must be directed to an HR business partner.

5 Records

Leave records are retained for six years from the end of the leave year to which they relate, after which they are deleted.

6 Review

This policy is reviewed every two years, or earlier where legislation or business practice changes.